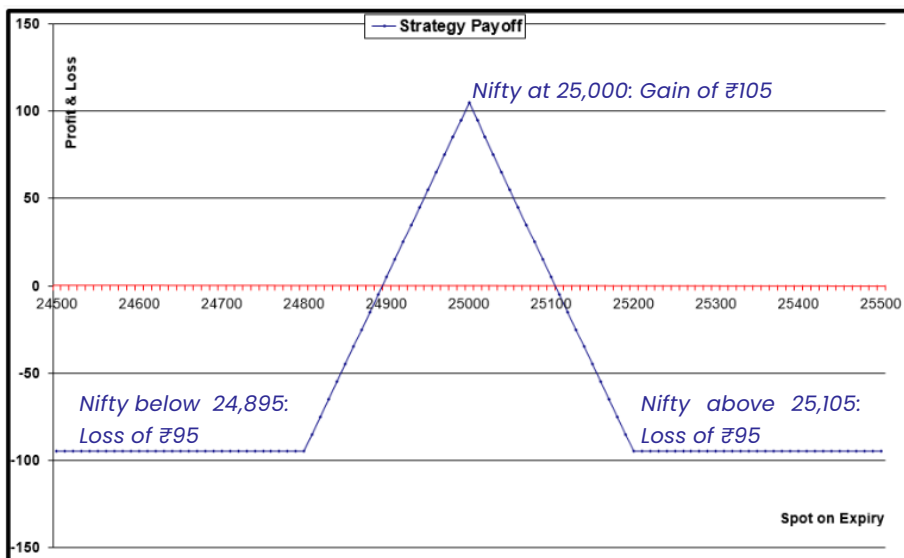


Particulars	Nifty at 25,000	Nifty above 25,105	Nifty below 24,895
Outcome of buying Nifty 25,200 call	Premium of ₹10 lost	Outcome = Nifty – 25,200 – ₹10	Premium of ₹10 lost
Outcome of buying Nifty 24,800 put	Premium of ₹15 lost	Premium of ₹15 lost	Outcome = 24,800 – Nifty – ₹15
Net outcome	Gain of ₹105	Loss of ₹95	Loss of ₹95

Let us visualise these pay-offs.



5.2.4 Iron condor

Iron condor is a combination of short and long strangles. It is a safer alternative to the iron butterfly approach. However, note that it also provides lesser premium income.

Example: Suppose you decide to execute the following strategy.